

Plaintiff may file an amended complaint within 15 days.

Case Management Conference confirmed for October 19, 2026.

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CASE #	CASE NAME	HEARING NAME
CVPS2602665	CREDITORS ADJUSTMENT BUREAU, INC., VS SOLIDIFIED GC LLC	HEARING RE: MOTION TO SET ASIDE DEFAULT ON COMPLAINT OF CREDITORS ADJUSTMENT BUREAU, INC., BY SOLIDIFIED GC LLC

Tentative Ruling: A motion pursuant to CCP 473(b) must be filed within six months of the clerk's entry of default and also within a "reasonable time" after discovery of the default. (*Elston v. City of Turlock* (1985) 38 Cal.3d 227, 234.) A delay of three or more months or more is an unofficial standard under which courts will routinely deny relief unless there is a satisfactory explanation for the delay. (*Stafford v. Mach* (1998) 64 Cal.App.3d 1174, 1184.) The time runs from the entry of the default, not the default judgment. (*Pulte Homes Corp. v. Williams Mechanical, Inc.* (2016) 2 Cal.App.5th 267, 273.) The court is empowered to relieve a party "upon any terms as may be just ... from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect." (C.C.P. §473(b).) Because the law favors judgments on the merits, "doubts must be resolved in favor of relief...." (*Lasalle v. Vogel* (2019) 36 Cal.App.5th 127, 134.)

A court has inherent, equitable power to set aside a judgment on the ground of extrinsic fraud or mistake. (*Bae v. T.D. Service Co. of Arizona* (2016) 245 Cal.App.4th 89, 98.) There are three essential requirements to obtain relief. The party in default must show a meritorious defense, a satisfactory excuse for not presenting a defense to the original action, and diligence in seeking to set aside the default once it was discovered. (*Rappleyea*, 8 Cal.4th 975, 982.) Relief is generally available only for "extrinsic fraud or mistake," but it does not require fraud or mistake in the strict sense—the terms "tend to encompass almost any set of extrinsic circumstances which deprive a party of a fair adversary hearing." (*In re Marriage of Park* (1980) 27 Cal.3d 337, 342.) "Extrinsic fraud occurs when a party is deprived of the opportunity to present a claim or defense to the court as a result of being kept in ignorance or in some other manner being fraudulently prevented by the opposing party from fully participating in the proceeding," while "[e]xtrinsic mistake is found when [among other things] ... a mistake led a court to do what it never intended...." (*County of San Diego v. Gorham* (2010) 186 Cal.App.4th 1215, 1228-1229.) But "extrinsic fraud and extrinsic mistake are unavailable when a party's own negligence allows the fraud or mistake to occur." (*Kramer v. Traditional Escrow, Inc.* (2020) 56 Cal.App.5th 13, 29.) And the fraud or mistake must be extrinsic rather than intrinsic, in the sense that the party must have been denied the opportunity to be heard. If the fraud or mistake goes to the merits of the action, or occurred at trial, it is deemed "intrinsic" and not ground for relief. (*In re Marriage of Thorne & Raccina* (2012) 203 Cal.App.4th 492, 505.) "[I]f a party has been given notice of an action and has not been prevented from participating therein," relief must be denied because "[h]e has had an opportunity to present his case to the court and to protect himself from mistake or from any fraud attempted by his adversary." (*Kulchar v. Kulchar* (1969) 1 Cal.3d 467, 472.)

In this matter, Defendant was served via personal service of Registered Agent United States Corporation Agents, Inc. Service was made by Registered Process Server "G. Moore" on April 30, 2026. Defendant does not dispute service in its Motion to Set Aside Default. According to the CEO of Defendant Solidified GC LLC, Alex Chuo, he was made aware of the lawsuit on May 13th when mailed proof of service by an employee of Plaintiff. (Dec. of Alex Chuo) An email from that employee, Greg Johnson, indicated that Defendant could pay the claimed damages, agree to a payment plan or answer the complaint. Defendant now claims that they relied upon that email, as well as the delay in their agent notifying them of the action and workload of Mr. Chuo, as the reasons for their motion.

The court notes that at the time of the email by Mr. Johnson, there was no indication of any type of extension or waiver of the 30 day requirement for response to a summons. By May 13th, Defendant would still have had until May 30th (actually June 1st because of the weekend) to file a response. Plaintiff did not submit a request for default until June 15th, with default entered by the court on June 16th. This is just over 30 days beyond the time that Mr. Johnson told CEO Chuo of Defendant's options as to how to proceed. Defendant then filed their motion to set aside about 45 days after entry of default.

Regarding discretionary relief, the failure of Defendant's own registered agent to provide notice prior to Plaintiff providing a copy of proof of service is mitigated by the fact that Plaintiff gave Defendant time to file a response. In addition to the original time remaining to file a response when Mr. Johnson emailed Mr. Chuo, Plaintiff waited approximately two more weeks before seeking default. Mr. Chuo, while in trial, chose not to act upon that information. His statement that he relied upon Mr. Johnson's representation that Defendant still had the option to answer is correct. At that time, Defendant still had time to respond and failed to do so. Mr. Chuo's declaration that he had a substantial backlog of professional and personal matters does not provide a sufficient basis for failing to act when notified on May 13th and failing to take action for over 30 days until after notice of default was entered.

As to equitable relief, Defendant has not shown a satisfactory excuse for not presenting a defense, nor has Defendant shown any type of extrinsic fraud or mistake. Defendant's reliance on their own agent failing to notify them of the service of the action and the CEO for Defendant failing to act even after he was given notice of a pending lawsuit and had approximately 30 days from that notice to work on having a response filed is not persuasive.

Motion to Set Aside Default DENIED.

Case Management Conference is vacated.

Order to Show Cause re Default Judgment set for March 23, 2027